

Question 17

Not yet answered

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Flag question

An impairment loss that relates to an asset that has been revalued should be recognized in

- ☐ a. Profit or loss
- ☐ b. Opening retained profits
- ☐ c. Any reserve in equity
- ☐ d. Revaluation reserve that relates to the revalued asset

Question 18

Not yet answered

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Flag question

The purchase of office equipment on account should result in:

- ☐ a. a debit to office equipment and a credit to cash
- ☐ b. a debit to accounts payable and a credit to office equipment
- ☐ c. a debit to office equipment and a credit to accounts payable
- ☐ d. a debit to office equipment and a credit to accounts receivable

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Question 15

Not yet answered

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Flag question

Which one of the following is wrong according to Walter's model argument?

- ☐ a. If the firm has $r = k$, it is a matter of indifference whether earnings are retained or distributed
- ☐ b. If $r < k$, the shareholders can earn a higher return by investing elsewhere
- ☐ c. If $r > k$, Increase dividend payout decrease value of the firm vice versa
- ☐ d. If $r > k$, the firm is able to earn lower than what the shareholders could by reinvesting, if the earnings are paid to them

Question 16

Not yet answered

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When a partner withdraws from the partnership by taking assets, the effects or entry result in:

- ☐ a. Decrease to the asset and no change in owner's equity of the firm
- ☐ b. Increase the assets of the partnership
- ☒ c. Decrease to the asset and owner's equity of the firm
- ☐ d. Increase to the asset and owner's equity of the firm

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Question 11

Not yet answered

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Flag question

One is not the reason of A corporation acquire treasury shares

- ☐ a. To reduce the number of shares outstanding and thereby increase earnings per share
- ☐ b. To increase the original Share Capital
- ☐ c. To reissue the shares to officers and employees under bonus and share compensation plans
- ☐ d. To have additional shares available for use in the acquisition of other companies

Question 12

Not yet answered

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Flag question

An entity grows grapevines harvest the grapes and produce wine in which of the following does IAS 41 apply?

- ☐ a. the grapevines
- ☐ b. the harvested grapes
- ☐ c. the production of wine
- ☐ d. the grapes growing on the grapevines

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Question 13

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The method of raising funds for capital investment that involves the greatest risk to the firm is

- ☐ a. Borrowing by selling bonds
- ☐ b. Issuing common stock
- ☐ c. Relying on retained profits
- ☐ d. Raising the dividend rate

Question 14

Not yet answered

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Flag question

The acquirer shall measure the identifiable assets acquired and the liabilities assumed at their:

- ☐ a. Acquisition-date historical cost
- ☐ b. Reporting-date present value
- ☐ c. Reporting-date net book value
- ☐ d. Acquisition-date fair values

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- ☐ c. An investor controls an investee when it is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee
- ☐ d. An investor is exposed, or has rights, to variable returns from its involvement with the investee when the investor's returns from its involvement have the potential to vary as a result of the investee's performance.

Question 10

Not yet
answered

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Flag question

Which of the following statement is true?

- ☐ a. public debt can be an instrument for securing economic stability
- ☐ b. the problems of adjustments of income and expenditure of business concern is within the scope of public finance
- ☐ c. Public revenue signifies the activities of the government during particular fiscal year
- ☐ d. Public expenditure is the means for public revenue

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Question 7

Not yet
answered

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Flag question

Working capital management is mainly concerned with:

- ☐ a. Financing and management of the firm's current assets
- ☐ b. The placement of the firm's debt and equity issues
- ☐ c. Management of the firm's capital assets
- ☐ d. Management of firm's total liabilities

Question 8

Not yet
answered

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Flag question

L Company produces hand tools. For March, budgeted sales are 12,000 units, beginning finished goods inventory will be 1,200 units, and ending finished goods inventory will be 1,400 units. March production will be?

- ☐ a. 10,900
- ☐ b. 12,200
- ☐ c. 14,600
- ☐ d. 11,800

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The first general standard requires that a person or persons have adequate technical training and proficiency as an auditor, this standard is met by

- ☐ a. Continuing professional education
- ☐ b. Knowledge of Statements of Auditing Standards
- ☐ c. Understanding business and finance
- ☐ d. Education and experience in auditing

2 If plant asset is retired before it is fully depreciated, and no salvage value or residual value is received.

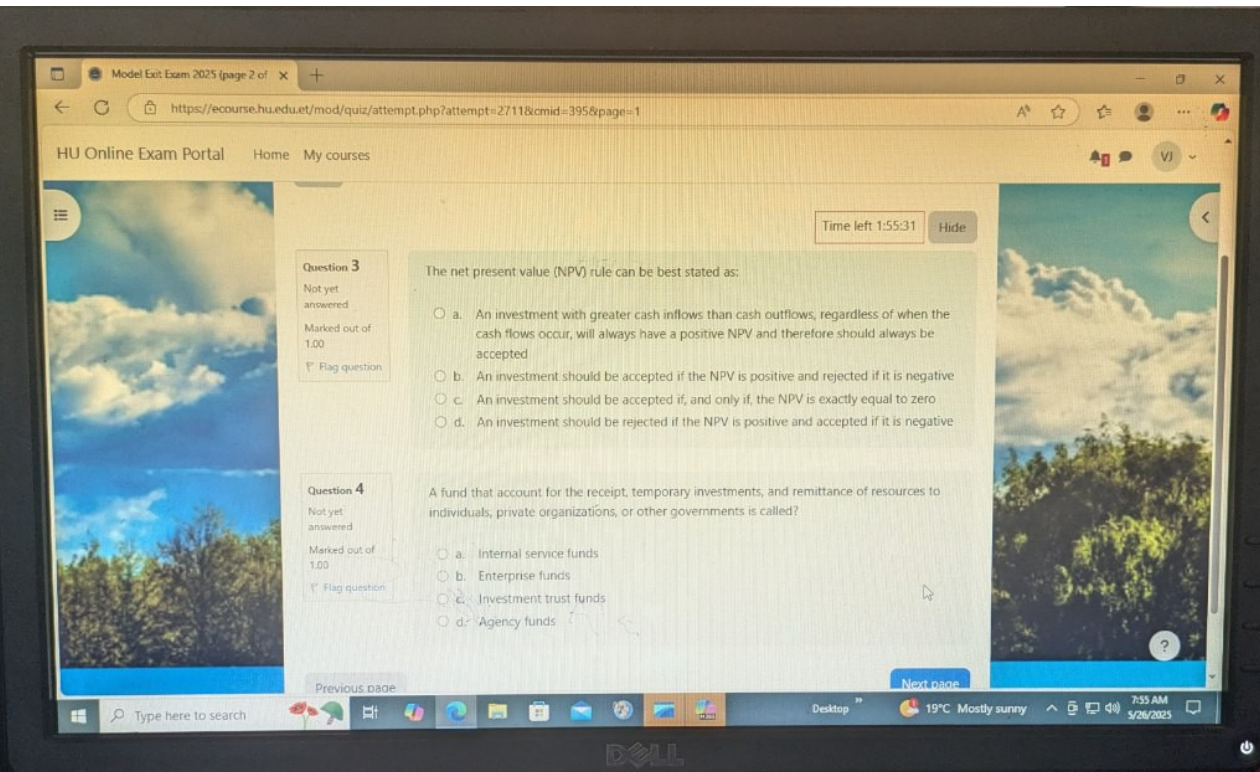
- ☐ a. Neither gain nor loss on disposal will be recorded
- ☐ b. Gain on disposal will be recorded
- ☐ c. Loss on disposal will be recorded

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Question 5
Not yet answered
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Flag question

Which one of the following factors indicates the customer's integrity to maintain long-term relationship?

- ☐ a. Capacity
- ☐ b. Character
- ☐ c. Condition
- ☐ d. Capital

Question 6
Not yet answered
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Flag question

If the company maintains liberal credit policy to collect the payments from its customers:

- ☐ a. they have to spend some amount of working capital
- ☐ b. they have to maintain more working capital
- ☐ c. they have to maintain optimum working capital
- ☐ d. they have to maintain lower working capital

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Question 9

Not yet
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Flag question

Which of the following is true according to IFRS 10 Consolidated Financial Statements issued by IASB?

- ☐ a. A parent shall prepare consolidated financial statements using different accounting policies for like transactions and other events in similar circumstances
- ☐ b. An investor has power over an investee when the investor has existing rights that give it the current ability to direct the relevant activities, i.e. the activities that significantly affect the investee's returns
- ☐ c. An investor controls an investee when it is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee
- ☐ d. An investor is exposed, or has rights, to variable returns from its involvement with the investee when the investor's returns from its involvement have the potential to vary as a result of the investee's performance.

Question 10

Not yet
answered

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Flag question

Which of the following statement is true?

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- ☐ b. the problems of adjustments of income and expenditure of business concern is within the scope of public finance
- ☐ c. Public revenue signifies the activities of the government during particular fiscal year

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Question 21

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Flag question

An organization uses internal control to enhance the accuracy and reliability of its accounting records and to:

- ☐ a. deter employee dishonesty
- ☐ b. safeguard its assets
- ☐ c. produce correct financial statements
- ☐ d. prevent fraud

Question 22

Not yet answered

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Flag question

Which of the following is/are wrong statement?

- ☐ a. Citizens may pay direct as well as indirect taxes
- ☐ b. If an individual's income is above the exemption limit, he/she can be forced to pay tax on his/her income
- ☐ c. In modern times, there is a direct relationship between the payment of tax and immediate benefits
- ☐ d. When the government collects a tax, its proceeds are spent to extend common benefit to all the people

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Question 33

Not yet
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Flag question

A capital projects fund would probably not be used for which of the following assets?

- ☐ a. Replacing a bridge
- ☐ b. Construction and installation of new shelving in the mayor's office.
- ☐ c. Financing and construction of three new fire substations.
- ☐ d. Purchase and installation of an entity-wide integrated computer system

Question 34

Not yet
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Flag question

Which of the following statements is wrong?

- ☐ a. The relationship of assets, liabilities, and equity expressed in the form of basic accounting equation in which assets must equal the sum of liabilities and equity
- ☐ b. A vital element in communicating economic events is the accountant's ability to analyze and interpret the reported information
- ☐ c. Accounting basically consists of the activities of identifying, recording, and communicating the economic events of an organization to interested users
- ☐ d. Retained earnings is not determined by three items: revenues (an increase in equity), expenses (a decrease in equity), and dividends (reduce retained earnings)

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currency and sets out requirements for the resulting financial statements described as complying with IFRSs

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- ☐ c. IAS 21 applies to hedge accounting for foreign currency items, including the hedging of a net investment in a foreign operation

Question 24

Not yet answered

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Flag question

After completion of the parent company's equity-method journal entries for its profitable wholly owned subsidiary's operating results, the balance of the parent's Intercompany Investment Income ledger is equal to the:

- ☐ a. Subsidiary's net income, less amortization of current fair value differences of the subsidiary's net assets, including goodwill.
- ☐ b. Subsidiary's net income, less amortization of current fair value differences of the subsidiary's identifiable net assets.
- ☐ c. Increase in the after-closing balance of the subsidiary's Retained Earnings ledger account
- ☐ d. Subsidiary's net income.

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Question 29

Not yet
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Flag question

Revenue is recognized in the accounting period in which the performance obligation is satisfied. This statement describes the

- ☐ a. Revenue recognition principle
- ☐ b. Full disclosure principle
- ☐ c. Expense recognition principle
- ☐ d. Measurement principle

Question 30

Not yet
answered

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The accounts payable department receives the purchase order form to accomplish all of the following except

- ☐ a. Compare quantity ordered to quantity purchased
- ☐ b. Ensure that the purchase had been properly authorized
- ☐ c. Compare invoice price to purchase order price
- ☐ d. Ensure that the party requesting the goods had received the goods

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Question 31

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The most common type of cash dividend is

- ☐ a. Special dividend
- ☐ b. Regular cash dividend
- ☐ c. Liquidating dividend
- ☐ d. Extra cash dividend

Question 32

Not yet
answered

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Flag question

Which of the following statements is not correct?

- ☐ a. IAS 21 applies to the presentation of an entity's financial statements in a foreign currency and sets out requirements for the resulting financial statements to be described as complying with IFRSs
- ☐ b. IAS 21 applies when an entity translates amounts relating to derivatives from its functional currency to its presentation currency
- ☒ c. IAS 21 applies to hedge accounting for foreign currency items, including the hedging of a net investment in a foreign operation

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Question 35

Not yet answered

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Flag question

Which characteristic is not possessed by intangible assets?

- ☐ a. Short-lived
- ☐ b. Expensed over current and/or future years
- ☐ c. Result in future benefits
- ☐ d. Physical existence

Question 36

Not yet answered

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Flag question

Under a consignment arrangement, the

- ☐ a. Consignee has ownership when the goods are in the consignee's possession
- ☐ b. Consigned goods are included in the inventory of the consignee
- ☐ c. Consigned goods are included in the inventory of the consignor
- ☐ d. Consignor has ownership until goods are shipped to the consignee

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Question 25

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When a company fully depletes the credit balance in Share Premium, any additional excess of cost over selling price would be:

- ☐ a. Debits to Share premium
- ☐ b. Debit to Retained Earning
- ☐ c. Credits to Share premium

Question 26

Not yet
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XYZ Company sells a single product at a selling price of Br 15.00 per unit. Last year, the company's sales revenue was Br 225,000 and its net operating income was Br 18,000. If fixed expenses totaled Br 72,000 for the year, the break-even point in unit sales was

- ☐ a. 4,100
- ☐ b. 9,900
- ☐ c. 15,000
- ☐ d. 12,000

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Question 27

Not yet
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Flag question

International Financial Reporting Standards (IFRS) is considered to be more:

- ☐ a. The same to GAAP
- ☐ b. Rule-based
- ☐ c. Principle-based

Question 28

Not yet
answered

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Flag question

If \$1.9672 is required to acquire one British pound, the amount of pound(s) required to acquire \$1 is:

- ☐ a. \$0.258
- ☐ b. \$5.0834
- ☐ c. \$3.8702
- ☐ d. \$0.5083

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Question 23

Not yet
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Flag question

Which of the following statements is not correct?

- ☐ a. IAS 21 applies when an entity translates amounts relating to derivatives from its functional currency to its presentation currency
- ☐ b. IAS 21 applies to the presentation of an entity's financial statements in a foreign currency and sets out requirements for the resulting financial statements to be described as complying with IFRSs
- ☐ c. IAS 21 applies to hedge accounting for foreign currency items, including the hedging of a net investment in a foreign operation

Question 24

Not yet
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Flag question

After completion of the parent company's equity-method journal entries for its profitable wholly owned subsidiary's operating results, the balance of the parent's Intercompany Investment Income ledger is equal to the:

- ☐ a. Subsidiary's net income, less amortization of current fair value differences of the subsidiary's net assets, including goodwill.
- ☒ b. Subsidiary's net income, less amortization of current fair value differences of the subsidiary's identifiable net assets.
- ☐ c. Increase in the after-closing balance of the subsidiary's Retained Earnings ledger account

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Question 19

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Which of the following risk is measure of the sensitivity or susceptibility of the financial statement accounts to material misstatement before considering the effectiveness of internal control, accounting controls, policies or procedures?

- ☐ a. Control risk
- ☐ b. Detection risk
- ☐ c. Inherent risk
- ☐ d. Hybrid risk

Question 20

Not yet answered

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Flag question

Which of the following statements is false?

- ☐ a. Ownership of ordinary shares gives the owner a voting right
- ☐ b. The authorization of share capital does not result in a formal accounting entry
- ☐ c. Par value and market price of a company's shares are always the same
- ☐ d. The equity section begins with a share capital section

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Question 51

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Equity investment on date of acquisition is recorded at

- ☐ a. Purchase price plus brokers commission
- ☐ b. Selling price of securities
- ☐ c. Purchase price of securities
- ☐ d. Amortized cost

Question 52

Not yet
answered

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Flag question

Which of the following audit procedures would be most appropriate to address the existence assertion for sales?

- ☐ a. Review collectability
- ☐ b. Confirm cash deposits in banks
- ☐ c. Perform analytical procedures
- ☐ d. Confirm receivables balances

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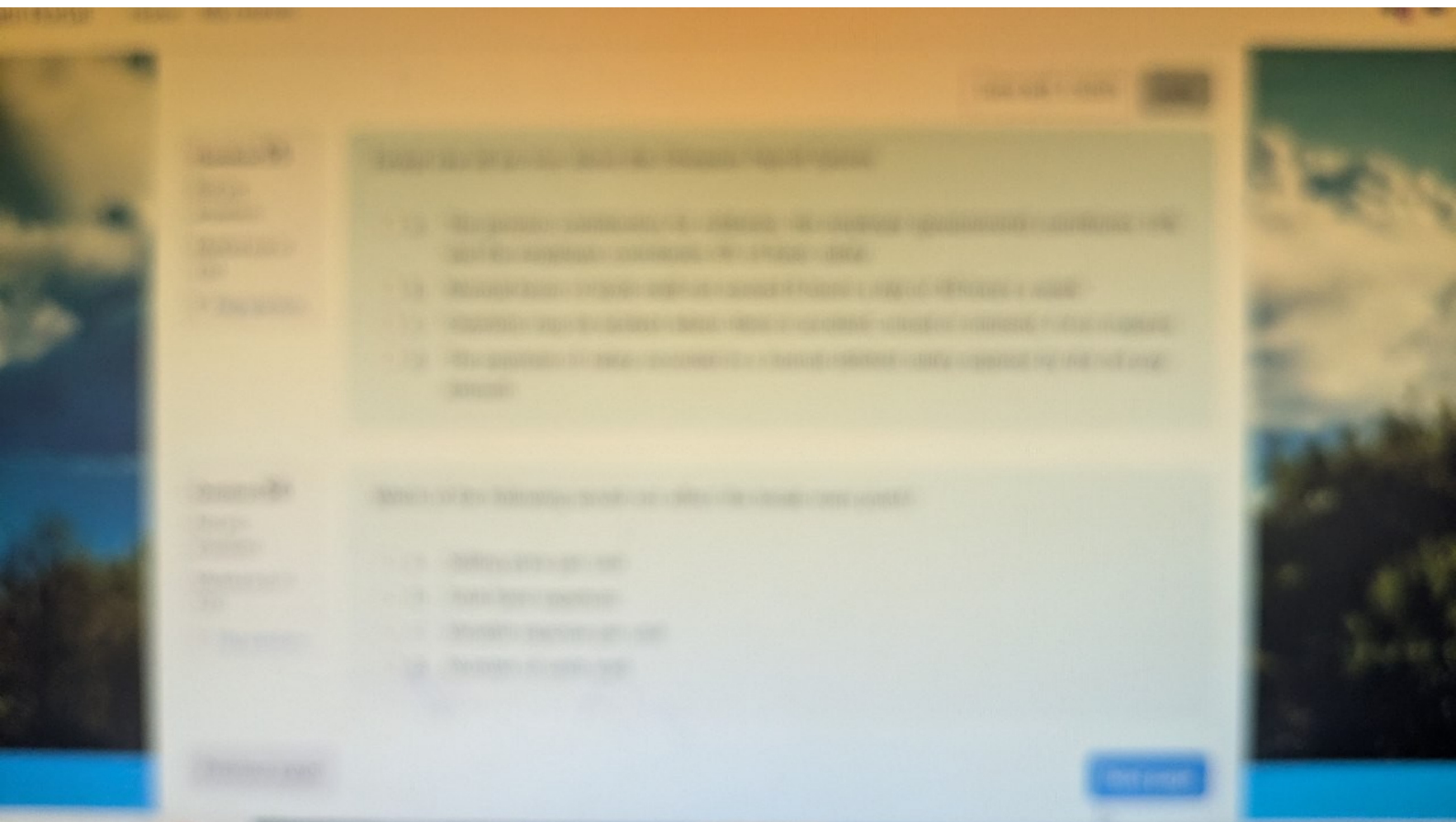
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Question 53

Not yet
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The cost of acquisition in a business combination is measured as the fair value of the:

- ☐ a. Consideration given
- ☐ b. Consideration given plus directly attributable costs
- ☐ c. Consideration received
- ☐ d. Costs directly attributable to the combination

Question 54

Not yet
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Flag question

Which of the following is the correct combination of fund type and base of accounting?

- ☐ a. Capital project Fund- modified accrual base of accounting
- ☐ b. Agency Fund- modified accrual base of accounting
- ☐ c. Enterprise Fund- modified accrual base of accounting
- ☐ d. General Fund- Cash base of accounting

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Question 49

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Flag question

To record the allocation of the cost of PPE, Intangible Assets and Natural resources the appropriate credit account respectively is

- ☐ a. Accumulated Depreciation, Amortization expense and Accumulated Depletion
- ☐ b. Accumulated Depreciation, Specific intangible asset and Accumulated Depletion
- ☐ c. Accumulated Depreciation, Accumulated amortization and Accumulated Depletion
- ☐ d. Depreciation expense, Amortization expense and Depletion expense

Question 50

Not yet
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Flag question

Kale Corporation purchase bonds at a discount on the open market as an investment and intends to hold these bonds to maturity and Kale does not elect the fair value option for the bonds. Kale should account for these bonds at

- ☐ a. Amortized cost
- ☐ b. Fair value
- ☐ c. Lower of cost or market
- ☒ d. Cost

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Question 47

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Flag question

Which of the following is an element of sampling risk?

- ☐ a. Failing to perform audit procedures that are required by the sampling plan
- ☐ b. Choosing an audit procedure that is inconsistent with the audit objective
- ☐ c. Choosing a sample size that is too small to achieve the sampling objective.
- ☐ d. Failing to detect an error on a document that has been inspected by the auditor

Question 48

Not yet
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What represents the increase in taxes payable in future years as a result of taxable temporary differences existing at the end of the current year?

- ☐ a. Deferred tax Asset
- ☐ b. Deferred tax liability
- ☐ c. Permanent tax differences
- ☐ d. Deductible temporary differences

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Question 45

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Flag question

One of the primary components of internal control system that capture and communicate all pertinent information both down and up the organization, as well as communicate information to appropriate external parties is;

- ☐ a. information and communication
- ☐ b. control activities
- ☐ c. risk assessment
- ☐ d. monitoring

Question 46

Not yet
answered

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Flag question

The formal process of choosing between alternatives is known as

- ☐ a. A decision model
- ☐ b. An alternative model
- ☐ c. A relevant model
- ☐ d. A prediction model

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Question 43

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Flag question

Which of the following financial statement assertions is not addressed by the confirmation of accounts receivable?

- ☐ a. Existence
- ☐ b. Rights
- ☐ c. Valuation
- ☐ d. Presentation and disclosure

Question 44

Not yet
answered

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Flag question

The receipt of cash from customers in payment of their accounts would be recorded by:

- ☐ a. A debit to Cash and a credit to Accounts Payable
- ☐ b. A debit to Cash and a credit to Accounts Receivable
- ☐ c. A debit to Accounts Payable and a credit to Cash
- ☐ d. A debit to Accounts Receivable and a credit to Cash

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Question 39

Not yet
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Which of general standards is a means that auditors are professionals responsible for fulfilling their duties diligently and carefully.

- ☐ a. Adequate Technical Training and Proficiency
- ☐ b. Adequate Planning and Supervision
- ☐ c. Due Professional Care
- ☐ d. Independence in Mental Attitude

Question 40

Not yet
answered

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Flag question

Which of the following organizations is responsible for setting International Financial Reporting Standards?

- ☐ a. International Accounting Standards Board
- ☐ b. Financial Accounting Committee
- ☐ c. Financial Accounting Standards Board
- ☐ d. International Accounting Standards Committee

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Question 41

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Flag question

The preferred technique for evaluating most capital investments is

- ☐ a. Net present value
- ☐ b. Internal rate of return
- ☐ c. Discount payback period
- ☐ d. Payback period

Question 42

Not yet
answered

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Statements on Auditing Standards

- ☐ a. Relate to the filing requirements and enforcement activities of the SEC
- ☐ b. Are intended to limit the degree of auditor judgment needed to fulfill the attest function
- ☐ c. Describe procedures to be applied in specific areas of audit activity to eliminate inconsistencies in audit practice
- ☐ d. Interpret standards that provide guidelines or measures of quality for an independent audit

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Question 37

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No par shares have stated value for this case what is stated value mean

- ☐ a. The stated value is Maximum value of the share
- ☐ b. The stated value is market value of the share
- ☐ c. The stated value is fair value of the share
- ☐ d. The stated value is a minimum value below which a company cannot issue its share

Question 38

Not yet
answered

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Flag question

Which of the following areas does not IFRS 3 apply to?

- ☐ a. The accounting for the formation of a joint arrangement in the financial statements of the joint arrangement itself
- ☐ b. There is no standard which is called IFRS
- ☐ c. A combination of entities or businesses not under common control
- ☐ d. The acquisition of an asset or a group of assets constitute a business

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Question 69

Not yet answered

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Flag question

Which of the following audit type is ordinarily covers the balance sheet and the related statements of income, retained earnings, and cash flows.

- ☐ a. Compliance audits
- ☐ b. Governmental audit
- ☐ c. Operational audit
- ☐ d. The audit of financial statements

Question 70

Not yet answered

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Flag question

The lead time is defined as:

- ☐ a. The length of time that it takes to order inventory
- ☐ b. The length of time before a stock out occurs
- ☐ c. The length of time between ordering and receiving an inventory order
- ☐ d. The time before production can be resumed

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Question 75

Not yet
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Flag question

Types of motive that serves the objective of holding cash for investing in profit-making ventures:

- ☐ a. Precautionary motive
- ☐ b. Transaction motive
- ☐ c. Speculative motive
- ☐ d. Safety motive

Question 76

Not yet
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The fifth and last step in a five step revenue recognition process under IFRS 15 is?

- ☐ a. Identify separate performance obligations
- ☐ b. Identify contracts with customers
- ☐ c. Recognize revenue when each performance obligation is satisfied
- ☐ d. Allocate the transaction price to separate performance obligations

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Question 59

Not yet answered

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Which one of the following is not the components of credit policy?

- ☐ a. Collection policy
- ☐ b. Credit analysis
- ☐ c. Terms of sale
- ☐ d. Ratio analysis

Question 60

Not yet answered

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🚩 Flag question

Identify the factor that contributes for shorter days sales outstanding

- ☐ a. Strong cash collection policy
- ☐ b. Poor credit selection
- ☐ c. Longer credit periods
- ☐ d. Limited cash discount offers

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Question 71

Not yet answered

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A typical example of a liability of uncertain timing or amount is?

- ☐ a. Unsecured promissory note
- ☐ b. Accrued salaries and wages
- ☐ c. Purchase of products on credit
- ☐ d. Obligations related to litigation

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Question 72

Not yet answered

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The Depreciation method provide for a higher depreciation cost in the earlier years and lower charges in later periods

- ☐ a. Units of Activity method
- ☐ b. Constant method
- ☐ c. Accelerated depreciation methods
- ☐ d. Straight line Methods

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Question 73

Not yet
answered

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1.00

Flag question

Which of the following statements describes variable costs?

- ☐ a. Costs that vary in total in direct proportion to changes in the level of activity
- ☐ b. Costs that remain the same in total dollar amount as the level of activity changes
- ☐ c. Costs that vary on a per-unit basis as the level of activity changes
- ☐ d. Costs that vary on a per-unit basis but remain the same in total as the level of activity changes

Question 74

Not yet
answered

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Flag question

One of the following is not true about Inventory costing method

- ☐ a. In periods of Deflation or declining prices, FIFO will produce higher Inventory
- ☐ b. In periods of Inflation or Higher prices, FIFO will produce higher net income
- ☐ c. Where FIFO is used the inventory and cost of goods sold would be the same at whether a perpetual or periodic system is used
- ☐ d. Under specific identification method the cost flow matches the physical flow of the goods

Question 63

Not yet answered

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Flag question

The allocation of the cost of intangible assets to expense in a rational and systematic manner over the resource's useful life is called:

- ☐ a. Depreciation
- ☐ b. Depletion
- ☐ c. Amortization
- ☐ d. Accumulated depletion

Question 64

Not yet answered

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Flag question

The accounts payable department generally should

- ☐ a. Approve the price and quantity of each purchase requisition
- ☐ b. Agree the vendor's invoice with the receiving report and purchase order
- ☐ c. Assure that the quantity ordered is omitted from the receiving department's copy of the purchase order
- ☐ d. Cancel supporting documentation after a cash payment is mailed

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Question 67

Not yet answered

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Flag question

Which one of following is not Walter's model assumption?

- ☐ a. The firm uses only retained earning
- ☐ b. The firm has an infinite life
- ☐ c. The firm can use debt or new equity finance if it is necessary
- ☐ d. The firm has constant EPS and DPS

Question 68

Not yet answered

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Flag question

In case of property held under an operating lease and classified as investment property

- ☐ a. The entity has the choice between the cost model and the fair value model
- ☐ b. The entity needs only to disclose the fair value and can use the cost model
- ☐ c. The entity has to use the fair value model only
- ☐ d. The entity has to account for the investment property under the cost model only

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Question 65

Not yet
answered

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1.00

Flag question

An entity should apply IFRS 17 to which of the following?

- ☐ a. reinsurance contracts issued by the entity
- ☐ b. product warranties issued by an entity which is manufacturer
- ☐ c. employer's asset and liabilities under employment benefit plans
- ☐ d. contingent consideration receivable in business combination

Question 66

Not yet
answered

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1.00

Flag question

Governmental units use which fund type to account for services provided to the general public on a user-charge basis?

- ☐ a. General Fund
- ☐ b. Enterprise fund
- ☐ c. Internal service fund
- ☐ d. Permanent fund

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Question 61

Not yet answered

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Flag question

Which of the following intangible assets should not be amortized?

- ☐ a. Customer lists
- ☐ b. Perpetual franchises
- ☐ c. Copyrights
- ☐ d. All of these intangible assets should be amortized

Question 62

Not yet answered

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Flag question

In most long term construction contracts revenues and gross profits recognized each period based up on the percentage of completion method in which of the following statement is correct if cost to cost basis is adopted.

- ☐ a. Current period revenues and gross profits determined by deducting revenues or gross profit recognized in prior periods from revenues or gross profits recognized to date
- ☐ b. Revenues and gross profits recognized when the contract is completed
- ☐ c. Revenue or gross profit to be recognized to date is percent complete multiplied by most recent estimate of total costs
- ☐ d. Percent complete is costs incurred to date divided by estimated total revenue

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Question 57

Not yet
answeredMarked out of
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Flag question

According to "Constitution of Ethiopia" and Proclamation No.33/1992, which one of the following sources of revenue shall be categorized as Federal/Central List

- ☐ a. Taxes collected on income marine transport activities
- ☐ b. sales tax collected from Organizations
- ☐ c. Tax on income from inland water transportation
- ☐ d. Profit tax collected from Organizations

Question 58

Not yet
answeredMarked out of
1.00

Flag question

Which of the following sampling methods is most useful to auditors when performing tests of controls?

- ☐ a. Unrestricted random sampling with replacement
- ☐ b. Variable sampling
- ☐ c. Discovery sampling
- ☐ d. Attribute estimation

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Question 93

Not yet
answered

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1.00

Flag question

In determining net cash flow from operating activities under indirect method, which of the following adjustments to net income is correct

- ☐ a. Deduct increases in receivables
- ☐ b. Add increase in prepaid expenses
- ☐ c. Add decreases in accrued liabilities
- ☐ d. Deduct increases in accounts payable

Question 94

Not yet
answered

Marked out of
1.00

Flag question

What is the purpose of a Debt Service Fund?

- ☐ a. to account for resources that are restricted or otherwise limited to pay the debt service on all long-term debt of the government, and also to show how much long-term debt is outstanding
- ☐ b. to account for resources that are restricted or otherwise limited to pay the debt service on all debt of the government, including Enterprise fund debt and short-term debt used to finance General Fund operations
- ☐ c. to account for resources that are restricted or otherwise limited to pay principal and interest on general long-term debt

Question 91

Not yet answered

Marked out of 1.00

Flag question

Due professional care requires

- ☐ a. The exercise of error-free judgment
- ☐ b. A critical review of the work done at every level of supervision
- ☐ c. The examination of all corroborating evidence available
- ☐ d. Consideration of internal control structure that includes tests of controls

Question 92

Not yet answered

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Flag question

Which of the following is false statement?

- ☐ a. Activity ratios are also known as assets management or turnover ratios
- ☐ b. Overall liquidity ratios generally do give an adequate picture of company's real liquidity
- ☐ c. Turnover ratios measure the degree to which assets are efficiently employed in the firm
- ☐ d. High turnover ratios usually associated with good assets management and lower turnover ratios with poor assets management

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Question 87

Not yet
answered

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1.00

Flag question

Accounts receivable turnover ratio determined by:

- ☐ a. net credit sales multiplied by average net accounts receivable
- ☐ b. net credit sales divided by average net accounts receivable
- ☐ c. average collection period in days divided by accounts receivable turnover
- ☐ d. accounts receivable turnover divided by days in year

Question 88

Not yet
answered

Marked out of
1.00

Flag question

Management accounting focuses primarily on providing data for:

- ☐ a. External uses by the Accounting and Auditing Board of Ethiopia
- ☒ b. Internal uses by managers
- ☐ c. External uses by the Ministry of Revenue
- ☐ d. External uses by stockholders and creditors

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- system purchases on account are debited to purchases
- ☐ d. A periodic inventory system determine the cost of goods sold by adding cost of goods on hand at the beginning of the accounting period to the cost of goods purchased and subtracting the cost of goods on hand at the end of the accounting period

Question 86

Answer saved

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Flag question

What is Sources of Financial Reporting Standards for G&NP organizations?

- ☐ a. Generally accepted accounting principles (GAAP)
- ☐ b. International Financial Reporting Standards (IFRS)
- ☐ c. International Public Sector Accounting Standards (IPSAS)
- ☐ d. Generally accepted auditing Standards(GAAS)

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Question 83

Not yet
answered

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Flag question

Taxable temporary differences are expected to lead to the payment of

- ☐ a. more tax in the future and gives rise to a deferred tax asset
- ☐ b. less tax in the future and gives rise to a deferred tax asset
- ☐ c. more tax in the future and gives rise to a deferred tax liability
- ☐ d. less tax in the future and gives rise to a deferred tax liability

Question 84

Not yet
answered

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1.00

Flag question

Which of the following is not an intangible asset?

- ☐ a. Copyrights
- ☐ b. Trade name
- ☐ c. Franchise
- ☐ d. Research and development costs

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Which of the following statement is correct but;

- ☐ a. Perpetual inventory system maintains detailed records of the cost of each inventory purchase and sale
- ☐ b. Under a periodic inventory system, when goods are purchased for resale by a company purchases of merchandise on account are debited to merchandise inventory.
- ☐ c. When goods are purchased for resale by a company using a periodic inventory system purchases on account are debited to purchases
- ☐ d. A periodic inventory system determine the cost of goods sold by adding cost of goods on hand at the beginning of the accounting period to the cost of goods purchased and subtracting the cost of goods on hand at the end of the accounting period

What is Sources of Financial Reporting Standards for G&NP organizations?

- ☐ a. Generally accepted accounting principles (GAAP)
- ☐ b. International Financial Reporting Standards (IFRS)
- ☒ c. International Public Sector Accounting Standards (IPSAS)

Question 77

Not yet
answered

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1.00

Flag question

Which of the following statement is right except?

- ☐ a. In computer technology several persons cannot work simultaneously on the accounting records
- ☐ b. The special journal can be useful to management in analyzing classes of transactions, such as sales, because similar transactions are in one place
- ☐ c. Computer technology reduces the time and effort devoted to record keeping tasks that accountants can concentrate on analysis and managerial type decisions
- ☐ d. Using special journal for classes of transactions saves time in journalizing and posting

Question 78

Not yet
answered

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1.00

Flag question

A CPA firm is reasonably assured of meeting its responsibility to provide services that conform to professional standards by

- ☐ a. Joining professional societies that enforce ethical conduct
- ☒ b. Adhering to generally accepted auditing standards
- ☐ c. Having an appropriate system of quality control
- ☐ d. Maintaining an attitude of independence in its engagements

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Question 89

Not yet answered

Marked out of 1.00

Flag question

Under the lower-of-cost-or-market method, the replacement cost of an inventory item would be used as the designated market value

- ☐ a. When it is above the net realizable value.
- ☐ b. When it is below the net realizable value less the normal profit margin.
- ☐ c. When it is below the net realizable value and above the net realizable value less the normal profit margin.
- ☐ d. regardless of net realizable value

Question 90

Not yet answered

Marked out of 1.00

Flag question

Which of the following best describes what is meant by generally accepted auditing standards?

- ☐ a. Procedures to be used to gather evidence to support financial statements
- ☐ b. Audit objectives generally determined on audit engagements
- ☐ c. Measures of the quality of the auditor's performance
- ☐ d. Acts to be performed by the auditor

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Question 81

Not yet
answered

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Flag question

Accounting professionals who work for a private employer on a salary basis are called?

- ☐ a. Private accountants
- ☐ b. Private enterprises
- ☐ c. Certified Public Accountants
- ☐ d. Public accountants

Question 82

Not yet
answered

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1.00

Flag question

In the case of bonds issued at discount

- ☐ a. Amount paid at maturity is less than amount at issue
- ☐ b. Company receives more at issue relative to maturity amount
- ☐ c. Paid and received amounts are equal
- ☐ d. Amount paid at maturity is more than the issue amount

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Question 79

Not yet
answered

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Flag question

Which of the following is not a distinguishing Characteristics of G&NP Organization?

- ☐ a. They are owned collectively by their constituents
- ☐ b. They attempt to earn a profit
- ☐ c. Strive for societal welfare
- ☐ d. Decisions usually must be ?in the sunshine?

Question 80

Not yet
answered

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Flag question

MM approach is based on the following important assumptions except:

- ☐ a. Perfect capital market
- ☐ b. Investors are rational
- ☐ c. There is risk or certainty
- ☐ d. There are no taxes

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Question 99

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Flag question

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One of the following statements is correct except;

- ☐ a. The debits (left side) must equal credits (right side) of an account for each business transaction to provide the basis for the double-entry system of recording transactions
- ☐ b. The journal helps to prevent or locate errors because the debit and credit amounts for each entry can be easily compared
- ☐ c. Adjusting entries made at the end of an accounting period to ensure that companies follow the revenue and expense recognition principles
- ☐ d. When companies receive cash before services are performed, they record a liability called service revenue

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Question 97

Not yet
answered

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Flag question

Ratios are primarily used for investment decisions and long-range planning:

- ☐ a. Asset management ratio
- ☐ b. Liquidity ratio
- ☐ c. Solvency ratio
- ☐ d. Market/book ratio

Question 98

Not yet
answered

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1.00

Flag question

In which type of Auditors? principal goal is to investigate and evaluate the effectiveness with which the various organizational units of the company are carrying out their assigned functions.

- ☐ a. External Auditors
- ☐ b. Government Auditors
- ☐ c. Internal Auditors

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Flag question

- ☐ a. Deduct increases in receivables
- ☐ b. Add increase in prepaid expenses
- ☐ c. Add decreases in accrued liabilities
- ☐ d. Deduct increases in accounts payable

Question 94

Not yet
answered

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1.00

Flag question

What is the purpose of a Debt Service Fund?

- ☐ a. to account for resources that are restricted or otherwise limited to pay the debt service on all long-term debt of the government, and also to show how much long-term debt is outstanding
- ☐ b. to account for resources that are restricted or otherwise limited to pay the debt service on all debt of the government, including Enterprise fund debt and short-term debt used to finance General Fund operations
- ☐ c. to account for resources that are restricted or otherwise limited to pay principal and interest on general long-term debt
- ☐ d. to provide a means of reporting all outstanding long-term debt of the government in a single location

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Question 95

Not yet
answered

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1.00

Flag question

The difference between flexible budget and static budget is known as

- ☐ a. Static budget variance
- ☐ b. Sales volume variance
- ☐ c. Quantity variance
- ☐ d. Flexible budget variance

Question 96

Not yet
answered

Marked out of
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Flag question

The general group of generally accepted auditing standards includes a requirement that

- ☐ a. Field work be adequately planned and supervised
- ☐ b. The auditor's opinion state whether or not the financial statements conform to generally accepted accounting principles
- ☐ c. Due professional care be exercised by the auditor
- ☐ d. Informative disclosures in the financial statements are reasonably adequate

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